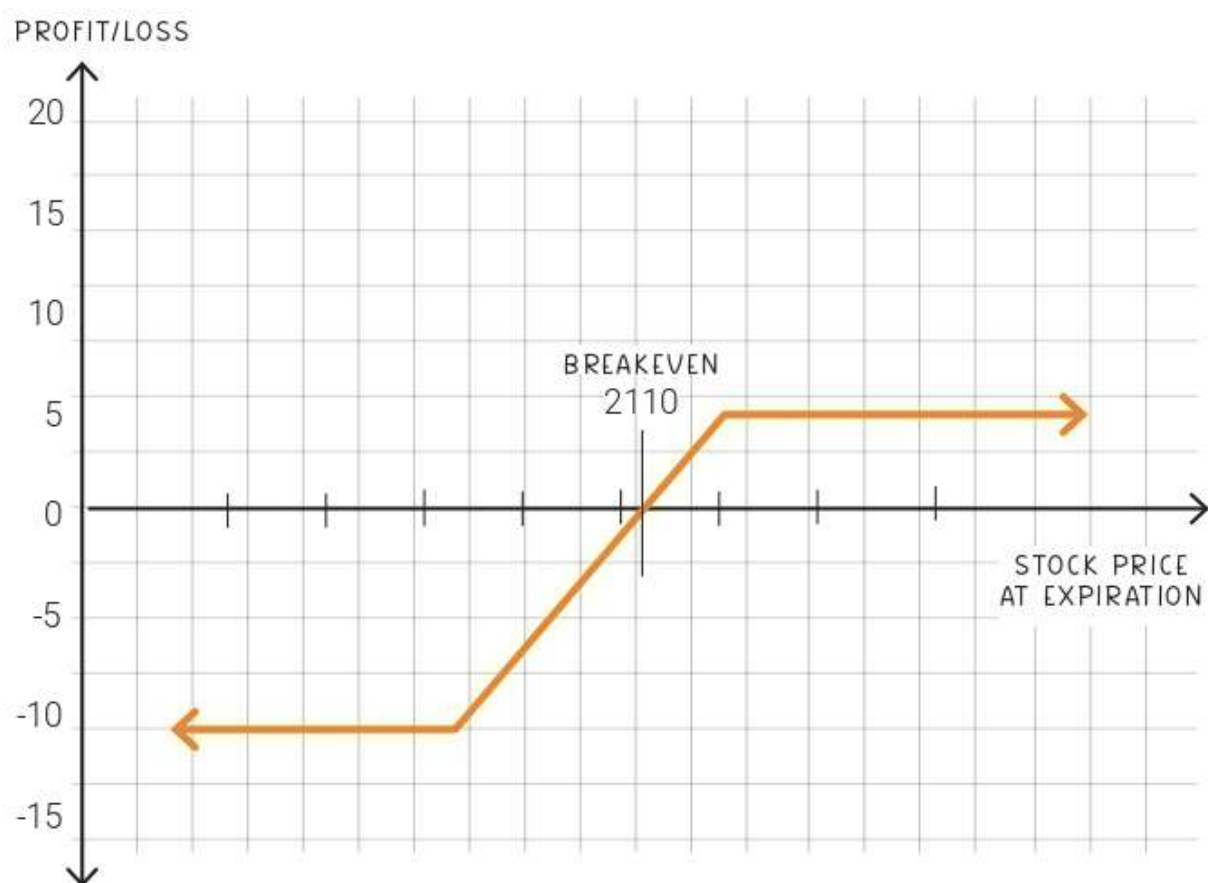


Therefore, the graphical representation of this payoff can be shown with the following payoff chart.

We can see that the maximum profit is capped at ₹2200.



We can see that if the price remains below ₹2100, then we will incur losses. The losses will be of amount - ₹10 which was initial premium that we had invested.

We will be covering these in-depth shortly as we move ahead with Option Strategies. Until then it is advisable to practice with some hypothetical combinations of options to get a hang of it.